at the time. In 2017–18, following a study, WGC estimated the stock of gold held by Indian households at around 23,000–24,000 tonnes. It estimates that the country currently holds stocks of about 25,000 tonnes of gold, which is over 12 per cent of global gold stocks. As India has been bringing in about 700–1000 tonnes of gold every year and the country would have conceivably brought in about 15,000–16,000 tonnes of gold in the twenty-five years since Reddy spoke, we can assume gold stocks of about 25,000 tonnes in different forms as a credible estimate.

Gold was priced at about $60 million per tonne in December 2020. At about Rs 75 to a dollar, this translates into Rs 450 crore a tonne. India's holdings of 25,000 tonnes would thus be worth about Rs 112.5 lakh crore (about $1.5 trillion). Taking the GDP at Rs 200 lakh crore, the country's gold wealth is valued at over 55 per cent of GDP. Assuming annual global production of gold to be around 3200 tonnes and India's imports on an average at about 700–800 tonnes of gold every year, India imports about 20 per cent of annual global production. This makes our gold wealth grow by about $45–50 billion every year. The country uses foreign exchange reserves of approximately $30–50 billion every year in importing gold, which is quite substantial. Thus, this amount of expenditure in importing gold is more than the fresh inflow of annual FDI in the country.

Seen another way, India's fascination with gold has caused us to spend virtually the entire FDI flow in purchasing gold and, then, converting the gold into jewellery. Consider the fact that wealth equivalent to more than 50 per cent of India's GDP is tucked away in gold and we virtually convert all our FDI flows into purchasing gold from the rest of the world. Is this the right recipe to finance growth and development? Does it serve any private or public interest? Can't this great wealth be unlocked for more productive use?